AIT Market Update
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Market Snapshot

	Week Change	YTD Change	Starting (1/21)	Ending
S&P 500	+ 1.49%	+ 1.74%	$6,875.62	$6,978.03
NASDAQ	+ 3.934%	+ 2.68%	$23,224.82	$23,857.45
Dow Jones Industrial Average	(0.13)%	+ 1.31%	$49,077.23	$49,015.60
Gold	+ 12.94%	+ 23.96%	$4,796.80	$5,417.30
10-Year Treasury	-0.8 bps	+ 2.11%	4.253%	4.245%
Brent Crude	+ 4.41%	+ 9.22%	$64.77	$67.63

Takeaways:

- Last Tuesday, all three major US indices were volatile due to the US President's tariff threats
  - Suspended the tariff increase on Thursday, and the market had a modest rally
- DJIA lagged behind the S&P 500 and NASDAQ, due to lower exposure to Tech Stocks
- Gold rose has 12.94% as investors view it as a safe-haven amid economic uncertainty
- The 10-year treasury yield fell 0.8 bps in due to the investor's sentiment and economic uncertainty.
- Brent Crude rose more than 4% as geopolitical concerns increase market's risk premium

Market Insight:

- Consumer confidence reaches lowest level since 2014
- Federal Reserve decided to hold rates
- S&P 500 reached new all-time highs

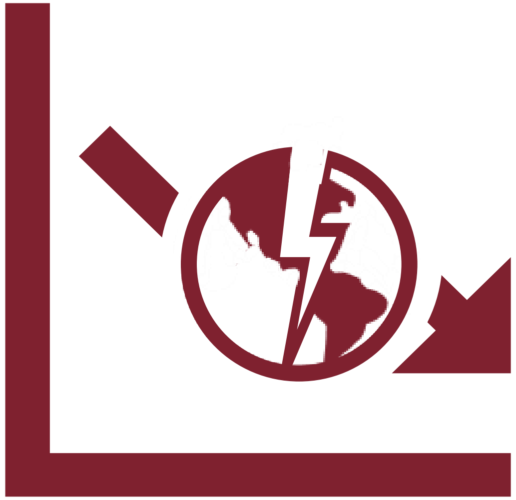
Tariff Developments

Europe

Trump threatened tariffs on eight European countries over Greenland negotiations if no agreement was reached.

- Major indices saw fall-offs on 1/20 after the announcement
- The tariff threat was later withdrawn after a preliminary framework was announced with NATO.

This could also be because of threatened counter-tariffs and potential sale of U.S. bonds.



South Korea

January 26: Trump announced he was raising tariffs on South Korea from 15% to 25%.

- The move was driven by South Korea's legislature not ratifying the bilateral trade agreement
- The tariff threat is intended to pressure South Korea in completing this agreement.
- Trump later said the two sides would ”work something out”

Other than the automobile and export sector, the South Korean market has remained resilient to this news.

Canada

January 24: Trump threatened Canada with a 100% tariff on Canadian goods.

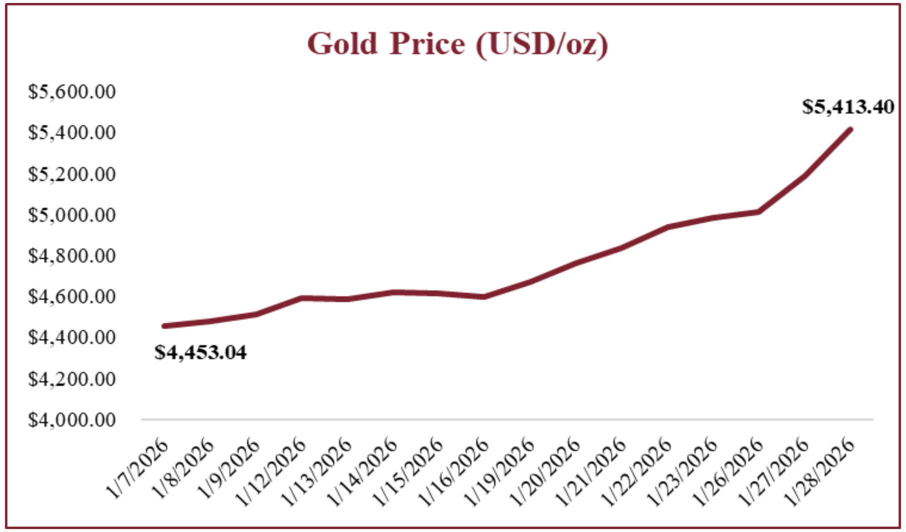
- Leveraging tariffs to discourage the China EV deal
- Canada responded that the deal does not violate the USMCA free trade agreement
- Canada also threatened with retaliation

Overall, this shows Trump use for tariffs as a leverage tool, not just for economic reasons.

Gold and the Bond Market

Gold Continues to Rise

- Gold surged to record highs, climbing above $5,400 per ounce during the week.
- Safe-haven demand increased as investors sought protection amid heightened market disruption and uncertainty.
- A weakening U.S. dollar supported prices, making dollar-denominated gold cheaper for foreign buyers and boosting global demand



Key Take Away:

Rising global bond yields and dollar weakness are reinforcing gold's role as a hedge against fiscal risk and market volatility.

Bonds

- Investors sold U.S. bonds, pushing prices down and Treasury yields higher in the "Sell America" trade.
- Japan's bond stability matters because Japanese capital flows heavily into the U.S.
- Government bond yields also spiked in India

Federal Reserve Meeting

Interest Rate News

- Held interest rates steady at 3.5% - 3.75%
- “Hawkish” pause after three consecutive quarter-point cuts
- Members Stephen Miran and Christopher Waller voting against holding rates

Looking Ahead

- No official announcement was made on Jerome Powell’s successor
- Potential candidates the markets expect are former Fed Governor Kevin Warsh, BlackRock executive Rick Rieder, and Kevin Hassett.
- Looking to take rate cuts meeting-by-meeting

Outlook Now

- The committee noted that while the labor market is showing some signs of stabilization, inflation remains above their 2% target
- Investors are still hopeful of two rate cuts (total 50 bps) in 2026
- Powell emphasizes decisions rely on incoming data regarding inflation and labor market stability

Economic Calendar

			1/28 **FOMC Meeting**	**1/29** **Initial Jobless Claims, U.S. Trade Deficit**	**1/30** **Producer Price Index (delayed report)**	**1/31**
2/1	**2/2**	**2/3**	**2/4**	**2/5**	**2/6** **Non-farm Payroll Report**	**2/7**
2/8	**2/9**	**2/10**	**2/11** **Consumer Price Index Report**	**2/12**	**2/13**	**2/14**
2/15	**2/15**	**2/16**	**2/17**	**2/18**	**2/19**	**2/20** **GDP Report**